

Introduction to Global Shifts and Northern British Columbia

Global Economic Shifts: ECON 220

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Overview of the Lecture

Lecture Focus:

- ▶ Understanding the concept of global economic shifts.
- ▶ Analyzing the impact of global shifts on Northern British Columbia (NBC).
- ▶ Discussing how NBC can leverage its resources and address local/global challenges.

Key Questions:

- ▶ What are global economic shifts, and why do they matter?
- ▶ How do these shifts impact the economy of Northern British Columbia?
- ▶ What strategies can NBC adopt to manage these shifts?

Global Economic Shifts

Definition:

- ▶ Global economic shifts are significant and sustained changes in the global economic environment that affect production, trade, labor markets, and social structures.
- ▶ These shifts can arise from technological advancements, policy changes, environmental factors, and demographic trends.

Example:

- ▶ The Industrial Revolution: Shift from agrarian economies to industrial economies had lasting impacts on global trade patterns and labor markets.

Why Global Shifts Matter

- ▶ Impact global trade flows and international relations.
- ▶ Affect national economies, industries, and employment sectors.
- ▶ Influence regional economies by changing demand for resources, altering labor markets, and influencing government policies.

Example:

- ▶ 2008 Financial Crisis: Disrupted global markets, leading to changes in housing prices, unemployment, and trade flows.

Drivers of Global Economic Shifts

- ▶ **Technological Advancements:** Automation, AI, IoT, 3D printing.
- ▶ **Trade and Economic Integration:** Trade agreements (e.g., NAFTA, CPTPP).
- ▶ **Environmental and Climate Changes:** Sustainability goals, clean technology.
- ▶ **Demographic Changes:** Aging populations, urbanization.
- ▶ **Geopolitical Dynamics:** Trade wars, economic sanctions.

Discussion Question:

- ▶ Which of these drivers do you think is most influential in shaping global economic shifts today?

Technological Advancements

Impact on NBC:

- ▶ Automation in industries like forestry can improve efficiency but may displace jobs.
- ▶ Technologies like AI and IoT may lead to new industries, such as tech and innovation hubs in NBC.

Example:

- ▶ Automation in forestry leads to greater productivity but may reduce local job opportunities. What are the social and economic implications of this?

Trade and Economic Integration

- ▶ Trade agreements such as CPTPP and NAFTA expand market access.
- ▶ NBC benefits from its proximity to the Asia-Pacific region, especially for LNG exports.

Example:

- ▶ The trade tension between the U.S. and China affects demand for LNG from NBC. How do such geopolitical dynamics impact regional economies like NBC's?

Environmental and Climate Changes

- ▶ Global sustainability trends are reshaping industries like forestry, mining, and energy production.
- ▶ Environmental regulations add costs but can also drive innovation in green technologies.

Example:

- ▶ Hydroelectric power generation in NBC as a response to global sustainability trends. What are the advantages and challenges of focusing on renewable energy in a resource-rich region?

Demographic Changes

- ▶ Aging populations in developed countries, including Canada, increase demand for healthcare services.
- ▶ Outmigration of youth from NBC presents challenges for workforce sustainability.

Discussion Question:

- ▶ How can NBC address its demographic challenges and retain its youth in an increasingly competitive global economy?

Geopolitical Dynamics

- ▶ Regional conflicts, trade wars, and economic sanctions disrupt global trade and influence market access.
- ▶ NBC's dependence on international markets makes it vulnerable to geopolitical changes.

Example:

- ▶ How does the U.S.-China trade war impact LNG exports from NBC? What strategies can NBC adopt to mitigate such risks?

Northern British Columbia's Economic Profile

- ▶ Rich in natural resources: timber, natural gas, minerals.
- ▶ Access to the Asia-Pacific trade route via the Prince Rupert Port.
- ▶ Challenges: Vulnerability to commodity price volatility, aging population, and outmigration.

Discussion Question:

- ▶ What are some strategies that NBC can employ to reduce its reliance on resource extraction while maintaining economic growth?

Case Study: Prince Rupert Port

Background:

- ▶ Canada's fastest-growing port, connecting to Asia-Pacific markets.
- ▶ Strategic location for growing trade with China, Japan, and South Korea.

Opportunities:

- ▶ Expansion of port facilities increases trade volume.
- ▶ Economic growth through increased export capacity, especially for LNG.

Discussion Question:

- ▶ How can NBC capitalize on its port to expand exports while addressing environmental and sustainability concerns?

Indigenous Perspectives

- ▶ Indigenous communities are key stakeholders in NBC's resource development.
- ▶ Indigenous-led projects, like joint ventures in LNG, provide opportunities for economic empowerment.

Discussion Question:

- ▶ What role should Indigenous communities play in NBC's economic development? How can NBC ensure that development is beneficial for these communities?

Class Discussion Questions

1. What are the key global trends impacting Northern British Columbia?
2. How can NBC balance economic growth with sustainability?
3. What role should Indigenous communities play in NBC's economic development?

Readings

- ▶ Stiglitz, J. E. (2002). *Globalization and Its Discontents*.
- ▶ Bowles, P., & Wilson, M. (2015). *Resource Communities in a Globalizing Region*.
- ▶ Prince Rupert Port Authority (2023). *Annual Reports*.